TENTATIVE RULINGS
Judge Lindsey E. Martínez, Dept. C24

"Civility is not about etiquette. This is not a matter of bad manners. Incivility slows things down, it costs people money – money they were counting on their lawyers to help them save. And it contravenes the Legislature's directive that 'all parties shall cooperate in bringing the action to trial[.]' (Code Civ. Proc., § 583.130.)" (*Masimo Corp. v. The Vanderpool Law Firm, Inc.* (2024) 101 Cal. App. 5th 902, 911; *see generally* OCBA Civility Guidelines.)

- The court encourages remote appearances to save time and reduce costs.
- All hearings are open to the public.
- You must provide your own court reporter and interpreter, if required.
- Call the other side and ask if they will submit to the tentative ruling. If everyone submits, call the clerk. The tentative ruling will become the order. If anyone does not submit, there is no need to call the clerk.
- The court will hold a hearing. The court may rule differently at the hearing. (*See Lewis v. Fletcher Jones Motor Cars, Inc.* (2012) 205 Cal.App.4th 436, 442, fn. 1.)

<u>Hearing Date: August 31, 2026 at 1:30 pm</u>
Rulings Posted: 8/28/26 at 5:00 pm (updated 8/31/26 11am)

#	Case Name	Tentative
201	*Cambridge Healthcare Management Services, LLC vs. Lake Hughes Recovery Estates, Inc.*	Before the court three motions filed by attorneys at Clark Hill, LLP ("Attorneys"), requesting respectively to be relieved as counsel of record for defendants/cross-complainants Lake Hughes Recovery, Lake Hughes Recovery Estates, Inc. dba First Responders, and Alexander Frankian ("Clients"). All three motions are **GRANTED**. Attorneys have complied with the requirements of California Rule of Court 3.1362, and filed and served forms MC-051, MC-052, and MC-053 on Clients and on the other parties in this action. The court finds Attorneys have provided valid and

		sufficient reasons for requesting to be relieved as counsel for Clients. The motions are granted. The court will continue trial in this matter to November 30, 2026, in order to permit Clients, which include two corporate entities, time to find new counsel. The court orders Attorneys to turn over the complete case file to Clients no later than September 14, 2026, and to provide a list of pending deadlines as requested by Clients in their opposition. The court notes the order relieving counsel shall not be effective until Attorneys file proof of service of the ruling on Clients. Until such time, Attorneys shall remain counsel of record. Attorneys are ordered to give notice of this ruling.
202	*L. vs. DOE 1*	The motion for judgment on the pleadings filed by Saddleback Valley Unified School District (District) as to the cause of action for negligence in the First Amended Complaint (FAC) filed by plaintiff A.L. is DENIED, as set forth herein. A motion for judgment on the pleadings may be made, and granted, on the same grounds as a general demurrer. (*Stoops v. Abbassi* (2002) 100 Cal.App.4th 644, 650) As with a demurrer, the grounds for judgment on the pleadings must appear on the face of the complaint or be based on facts that the court may judicially notice. (*Burnett v. Chimney Sweep* (2004) 123 Cal.App.4th 1057, 1063) In the third cause of action, plaintiff alleges District employees had actual notice the plaintiff was being sexually abused by her teacher and did nothing to protect her. (FAC ¶67) Plaintiff further alleges examples of grooming and other interactions of

		which the District employees were aware and that the employees did nothing. This cause of action is sufficiently pled. (*C.A. v. William S. Hart Union High Sch. Dist.* (2012) 53 Cal. 4th 861, 865–66 ["If a supervisory or administrative employee of the school district is proven to have breached that duty by negligently exposing plaintiff to a foreseeable danger of molestation by his guidance counselor, resulting in his injuries, and assuming no immunity provision applies, liability falls on the school district under section 815.2."].) Accordingly, the motion is DENIED. Plaintiff shall give notice.
204	*Hamilton vs. 712 Financial Services LLC*	The demurrer of defendants 712 Financial Services LLC, Richard D. Niemi, Kathleen N. Niemi, Bruce Hammett, Judith Hammett, Michael Jones, Darcy Cohen Jones, the Lighthouse II LLC, Shawn Reynolds, Janelle Reynolds, Richard W. Merritt Jr., and Britian L. Merritt (collectively, Moving Defendants) directed to the complaint of plaintiff Scott Peter Hamilton (Plaintiff) is **SUSTAINED IN PART with 20 days leave to amend** and **OVERRULED IN PART**, as set forth below. **<u>First Cause of Action for Wrongful Foreclosure</u>** "The elements of the tort of wrongful foreclosure are: ' "(1) the trustee or mortgagee caused an illegal, fraudulent, or willfully oppressive sale of real property pursuant to a power of sale in a mortgage or deed of trust; (2) the party attacking the sale (usually but not always the trustor or mortgagor) was prejudiced or harmed; and (3) in cases where the trustor or mortgagor challenges the sale, the trustor or mortgagor tendered the amount of the secured indebtedness or was excused from tendering" '; and (4) ' "no breach of condition or

		failure of performance existed on the mortgagor's or trustor's part which would have authorized the foreclosure or exercise of the power of sale." ' " (*Majd v. Bank of America, N.A.* (2015) 243 Cal.App.4th 1293, 1306–1307.) Moving Defendants are correct Plaintiff has not alleged he tendered the amount of the secured indebtedness or sufficient facts showing he was excused from tendering. The Complaint also fails to plead facts showing no breach of condition or failure of performance by Plaintiff. The Complaint essentially admits Plaintiff was in breach of the loan. Moving Defendants are also correct the pleading is uncertain because it does not identify the security clause which is alleged to have been "embedded in the April 21, 2022 Deed of Trust" and which Plaintiff alleges "expressly prohibited Plaintiff from obtaining additional financing." (See Compl., ¶ 22.) The demurrer to the first cause of action is **SUSTAINED with 20 days leave to amend**. **<u>Second Cause of Action for Breach of Covenant of Good Faith</u>** Moving Defendants appear to simply contend they properly asserted their rights under the Deed of Trust and California's foreclosure law. However, the demurrer admits the truth of all material facts properly pleaded. (*Aubry v. Tri-City Hosp. Dist*. (1992) 2 Cal.4th 962, 966-967; *Serrano v. Priest* (1971) 5 Cal.3d 584, 591.) In addition, the question of the plaintiff's ability to prove the allegations in the complaint, or possible difficulties in making such proof, is of no concern in ruling on a demurrer. (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 213-214.)

		The allegations of the Complaint appear sufficient to plead breach of the implied covenant. (See Compl., ¶ 53; *Careau & Co. v. Security Pacific Business Credit, Inc*. (1990) 222 Cal.App.3d 1371, 1394-1395.) The demurrer to the second cause of action is **OVERRULED**. **<u>Third Cause of Action for Fraud</u>** Moving Defendants are correct the fraud claim is not pled with the requisite specificity. There are no facts pled showing the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written. (*Tarmann v. State Farm Mut. Auto. Ins. Co.* (1991) 2 Cal.App.4th 153, 157.) The demurrer to the third cause of action is **SUSTAINED with 20 days leave to amend**. **<u>Fourth Cause of Action for Intentional Interference With Prospective Advantage</u>** Moving Defendants cite to authority setting forth the elements of a claim for intentional interference with prospective economic advantage and then state simply: "None of the elements of a legally viable interference claim are pled because they cannot be pled." Moving Defendants failed to provide any reasoned argument to support this contention. Points that are raised that are not supported by reasoned argument may be disregarded. (See *City of Palo Alto v. Public Employment Relations Board* (2016) 5 Cal.App.5th 1271, 1318; *Hernandez v. First Student, Inc.* (2019) 37 Cal.App.5th 270, 277.)

		The demurrer to the fourth cause of action is **OVERRULED**. **<u>Fifth Cause of Action for Unjust Enrichment</u>** There is a split in authority as to whether "unjust enrichment" is a separate cause of action. (Compare *Melchior v. New Line Productions, Inc*. (2003) 106 Cal.App.4th 779, 793; *McBride v. Boughton* (2004) 123 Cal.App.4th 379, 387; and *Castillo v. Toll Bros., Inc.* (2011) 197 Cal.App.4th 1172, 1209-1210 with *Ghirardo v. Antonioli* (1996) 14 Cal.4th 39, 43-44 and *Peterson v. Cellco Partnership* (2008) 164 Cal.App.4th 1583, 1593.) Due to this split in authority, the court will allow the claim to proceed. The demurrer to the fifth cause of action is **OVERRULED**. **<u>Sixth Cause of Action for Conversion</u>** " 'Conversion is the wrongful exercise of dominion over the property of another." (*Farmers Ins. Exchange v. Zerin* (1997) 53 Cal.App.4th 445, 451–452.) This claim is based on allegations that Moving Defendants wrongfully took possession of and disposed of Plaintiff's personal property located within the Subject Property after the foreclosure and eviction. (Compl., ¶ 84-86.) Moving Defendants contend there is no wrongful act alleged because this matter involved an unlawful detainer, "not a home robbery." However, the Complaint alleges the foreclosure and resulting eviction themselves were wrongful. The demurrer to the sixth cause of action is **OVERRULED**.

		Seventh Cause of Action for Infliction of Emotional Distress The allegations Moving Defendants intentionally hindered repayment of the loan with the intent to oust Plaintiff from his home in order to obtain the Subject Property's significant equity for themselves appear sufficient to plead outrageous conduct by Moving Defendants. (See Compl., ¶¶ 22, 30, 53, 93; *Hughes v. Pair* (2009) 46 Cal.4th 1035, 1050-51.) The demurrer to the seventh cause of action is **OVERRULED**. **Eighth Cause of Action for Quiet Title** Moving Defendants argue "[t]here simply is no legitimate dispute about title" because Plaintiff lost ownership of the Subject Property following a routine foreclosure sale. However, the entire basis for Plaintiff's Complaint is that the foreclosure sale was improper. The demurrer to the eighth cause of action is **OVERRULED**. **Ninth Cause of Action for Rescission** "Rescission is *not* a cause of action; it is a remedy." (*Nakash v. Superior Court* (1987) 196 Cal.App.3d 59, 70, emphasis in original.) The demurrer to the ninth cause of action is **SUSTAINED with 20 days leave to amend**. The court vacates the 8/31/26 OSC and sets a CMC for 12/14/26 at 8:45am in Dept. C24. Moving Defendants shall give notice.

205	*Hilbert Group, LLC vs. Nano Banc, Inc.*	Before the court is a demurrer filed by Nano Banc, Inc. (Defendant) against plaintiff Hilbert Group, LLC's (Plaintiff) first amended complaint (FAC). The demurrer is **SUSTAINED**. Plaintiff is given leave to file an amended complaint by 9/14/26. As to causes of action numbers one and three, Plaintiff failed to attach a copy of the alleged contract or to specifically allege the terms of the subject contract. (*Harris v. Rudin, Richman & Appel* (1999) 74 Cal. App. 4th 299, 307.) From the language of the FAC, it appears there may be multiple different contracts which is unclear. As the alleged loan modification involves a sum over $100,000 a writing is required to comply with the statute of frauds. (Civ. Code §1624, subd. (a)(7).) As to cause of action number two, Plaintiff has not provided the terms or copy of any specific contract between Plaintiff and Defendant, and without a valid contract, there is no implied covenant. (*Smith v. City & Cnty. of San Francisco* (1990) 225 Cal.App.3d 38, 49.) While Plaintiff argues Defendants negotiated and made promises regarding a loan, "[p]reliminary negotiations or an agreement for future negotiations are not the functional equivalent of a valid, subsisting agreement." (*Kruse v. Bank of Am.* (1988) 202 Cal. App. 3d 38, 59.) The statute of frauds also applies as noted above. It also appears the allegations equate to at best a failure of Defendant to comply with the terms of a contract, which is not sufficient to support this cause of action. As to the fourth cause of action, Plaintiff has not sufficiently pled facts supporting fraud with specificity. (*Lazar v. Superior Court* (1996) 12 Cal. 4th 631, 638 and 645.) Plaintiff did not allege who Defendant's executives spoke to or specifically

when, and did not state the "material representations" that were supposedly made. The FAC also alleges communications were 'conveyed through [nonparty] Continuum' (FAC ¶ 3), which would not make reliance reasonable. Plaintiff has also not properly alleged damages as there are no allegation as to how its legal position was altered (*All. Mortg. Co. v. Rothwell* (1995) 10 Cal. 4th 1226, 1239), or why/how it was prohibited from pursuing alternative refinancing/restructuring options.

As to the fifth cause of action, there are similar issues as with the fourth cause of action. While the fraud specificity is not required in a negligence claim, the same facts are missing. Additionally, a negligent misrepresentation must be made of a past or existing material fact and not regarding something that might happen in the future. (*See Borman v. Brown* (2021) 59 Cal. App. 5th 1048, 1060.)

As to the sixth cause of action, Plaintiff has alleged no law which Defendant allegedly violated, (*Berryman v. Merit Prop. Mgmt., Inc.* (2007) 152 Cal.App.4th 1544, 1554), has not alleged any fraudulent business act/practice, or anything related to advertising. This leaves solely the unfair prong. (*Graham v. Bank of America, N.A.* (2014) 226 Cal.App.4th 594, 609.) Plaintiff has not sufficiently pled any 'unfair' practice on the part of Defendant. (*Scripps Clinic v. Superior Ct.* (2003) 108 Cal. App. 4th 917, 939.) It is also unclear, since Plaintiff has not adequately alleged a contract, whether any alleged violation of the UCL is merely a breach of contract cause of action. Finally, Plaintiff has not pleaded facts supporting that there is no adequate remedy at law available. (*Feitelberg v. Credit Suisse First Boston, LLC* (2005) 134 Cal.App.4th 997, 1012.) It is also unclear what damages Plaintiff suffered other than Defendant's refusal to proceed with a loan modification, of

		which Plaintiff has a remedy under the breach of contract COA if it is eventually sufficiently pled. (*Moss v. Infinity Ins. Co*., 197 F. Supp. 3d 1191, 1203 (N.D. Cal. 2016).) The court continues the 8/31/26 CMC to 11/30/26 at 1:30 in Dept. C24. Defendant shall give notice.
206	*James vs. Paired Up LLC*	The court withholds a tentative ruling. Parties should come to oral argument ready to discuss the issue of whether the Court should apply the forum-selection clause that requires that the matter be litigated in Clark County, Nevada.
207	*Cooper vs. Bennett*	The general demurrer of defendants Paul Bennett and Kathy Sakioka to the eighth, ninth, and tenth causes of action in the complaint of plaintiffs Simone and Ronald Cooper is SUSTAINED with with leave to amend. Plaintiffs are given leave to file an amended complaint by 9/14/26. Defendants demur generally to the eighth, ninth, and tenth causes of action in the complaint. They also demur specially on the ground of uncertainty to the tenth cause of action. Plaintiffs concede the merits of the demurrer to the eighth cause of action but oppose it with respect to the ninth and tenth causes of action. <u>The ninth cause of action for tenant harassment</u>. The ninth cause of action is for tenant harassment under Civil Code § 1940.2 et seq. Plaintiffs allege that section 1940.2 "prohibits specified forms of landlord conduct undertaken to influence a tenant to vacate, including willful conduct that interferes with a tenant's quiet enjoyment and conduct intended to cause a tenant to quit involuntarily."

(Complaint, ¶ 83.) They then allege that, after plaintiffs complained of dangerous and uninhabitable conditions and asserted their rights as tenants, defendants "engaged in a course of conduct intended to pressure Plaintiffs to vacate, including servicing a sudden rent demand mischaracterized as a 'market rate' increase to $3450 effective December 15, 2025, while the premises continued to suffer from ongoing conditions Plaintiffs had complained about." (Complaint, ¶ 84.)

While this may have been unfair, this rent increase does not appear to be the type of tenant harassment prohibited under section 1940.2. Plaintiffs' allegations in paragraph 83 appear to be referencing subdivision (a)(c) of section 1940.2. In its entirety, subdivision (a)(c) states that the following conduct by a landlord is unlawful "for the purpose of influencing a tenant to vacate a dwelling":

Use, or threaten to use, force, willful threats, or menacing conduct constituting a course of conduct that interferes with the tenant's quiet enjoyment of the premises in violation of Section 1927 that would create an apprehension of harm in a reasonable person. Nothing in this paragraph requires a tenant to be actually or constructively evicted in order to obtain relief.

Civil Code section 1927, which is referenced in the subdivision, relates to "quiet possession of hire."

Thus, a simple increase in rent does not constitute a violation of section 1940.2. The demurrer is sustained with leave to amend.

<u>The tenth cause of action for intentional misrepresentation</u>. In the tenth cause of action for intentional misrepresentation, plaintiffs allege

		that, on November 1, 2025, they made a demand in writing that rent would be increasing to the "market rate" of $3450 month, effective December 15, 2025 and that plaintiffs should either accept the increase or be pressured to vacate the premises. (Complaint, ¶ 90.) Plaintiffs allege that the representation that $3450 was the market rate for the unit was false and was made in retribution for their complaints and assertion of their tenants' rights. (Complaint, ¶ 91.) Plaintiffs further allege that defendants "made the representation with the intent to induce reliance by Plaintiffs and to influence Plaintiffs' housing decision, including by pressuring Plaintiffs to vacate." (Complaint, ¶ 92.) Plaintiffs allege that they relied on defendants' representation and decided to vacate the premises, thereby sustaining damages that included moving and relocation costs. (Complaint, ¶¶ 93 and 94.) Defendants contend that the cause of action lacks all of the elements of fraud, particularly the elements of justifiable reliance and causation, citing <u>Beckwith v. Dahl</u> (2012) 205 Cal.App.4th 1039, 1062. There, the court stated that a plaintiff asserting fraud by misrepresentation is required to establish a complete causal relationship between the alleged misrepresentations and the harm claimed to have resulted therefrom. It added that the causation aspect of actions for damage for fraud and deceit involves three distinct elements: (1) actual reliance, (2) damage resulting from such reliance, and (3) right to rely or justifiable reliance. <u>Ibid</u>. Here, the allegations do not show that the representation that the rent increase reflected the market rate for the unit resulted in the plaintiffs' decision to vacate the unit; rather, it was the amount of the prospective rate increase itself that resulted in that decision. Defendants' argument is

		meritorious and the demurrer is sustained to this cause of action with leave to amend. The motion of defendants Paul Bennett and Kathy Sakioka move to strike portions of the complaint by plaintiffs Simone and Ronald Cooper is GRANTED with leave to amend to the extent that it is not mooted by the ruling on the demurrer. The individual paragraphs referenced in item 1 of the notice of motion are at the very end of the first, fifth, sixth, seventh, eighth, and ninth causes of action for negligence, fraud, retaliation, constructive eviction, unlawful rent increase/demand for excessive rent, and tenant harassment. They are identical and allege: "The above conduct was the result of malice, fraud, and oppression, justifying punitive damages." Because the allegations are conclusory, they are defective to the extent they are not mooted by the ruling on the demurrer. The CMC is continued from 8/31/26 to 12/14/26 at 8:45am in Dept. C24. Defendants shall give notice.
209	*Newport Jewish Center vs. Auschwitz Study Foundation*	Defendant Auschwitz Study Foundation's application to admit counsel Michael O. Crain to appear pro hac vice is GRANTED and Defendant's motion to strike portions of the complaint is GRANTED, in part. <u>Pro Hac Vice Application</u>: Counsel has submitted a verified application that complies with the requirements of California Rules of Court, rule 9.40. <u>Motion to Strike</u>:

		Item nos. 1-8 listed on Defendant's notice of motion is GRANTED in full; Item no. 9 is GRANTED as to the prayer for attorney fees only. (See Code of Civ. Proc. § 436, subd. (a), § 431.10, subd. (b)(1-(3), (c); *PH II, Inc. v. Superior Court* (1995) 33 Cal.App.4th 1680, 1682-1683 [standard].) Attorney fees are recoverable when authorized by contract, statute or law. (Code of Civ. Proc. § 1033.5, subd. (a)(10).) Plaintiff concedes there is no contractual or statutory or other legal basis for the recovery of attorney fees. Defendant shall give notice.